

Amendment No. 1 to HB1777

Vaughan
Signature of Sponsor

AMEND Senate Bill No. 2126

House Bill No. 1777*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Section 67-4-2006(b)(1)(O), is amended by deleting the subdivision and substituting instead:

(O) Any deduction by any of the following for dividends paid, as defined under 26 U.S.C. § 561, that is allowed and taken under 26 U.S.C. § 857(b)(2)(B):

(i) Captive REIT, including a captive REIT that is owned, directly or indirectly, by a bank, a bank holding company, or a public REIT;

(ii) Public REIT; or

(iii) Private REIT;

SECTION 2. Tennessee Code Annotated, Section 67-4-2019, is amended by deleting the section.

SECTION 3. Tennessee Code Annotated, Section 67-4-2006(a)(5), is amended by deleting the subdivision.

SECTION 4. Tennessee Code Annotated, Section 67-5-501, is amended by adding the following as new, appropriately designated subdivisions:

() "Real estate investment trust" or "REIT" means a real estate investment trust that has an election in effect under § 856(c)(1) of the Internal Revenue Code (26 U.S.C. § 856(c)(1));

() "REIT-owned rental unit" means any real property that is owned by a REIT and leased or available for lease;

SECTION 5. Tennessee Code Annotated, Section 67-5-801, is amended by adding the following as new subsection:

(d) If a REIT owns two (2) or more parcels of real property in this state that each contain a REIT-owned rental unit, then all such parcels, in the aggregate, contain two (2) or more rental units as used in § 67-5-501, and the assessor of property shall classify each parcel of property as commercial.

SECTION 6. This act takes effect upon becoming a law, the public welfare requiring it, and Sections 1 through 3 apply to tax years ending on or after December 31, 2026.